



PROCEDURE of AWARDING BENECO CONTRACT

POLICY 5-10

INTRODUCTION:

To provide clear cut guidelines in awarding BENECO contracts to qualified bidders/contractors, the Board adopts the following policies.

POLICIES:

1. That all contracts involving the cooperative funds shall be approved by the Board.
2. All contracts entered into between the cooperative and winning bidders/contractors shall be signed by the President; provided, however, that in case of emergency, approval and signatures of the General Manager and the President of the cooperative is sufficient for contracts involving the total amount from P10,000.00 or below, as the case maybe.
3. That all projects subject for contract must be advertised and opened to duly-qualified bidders/contractors only; in highly meritorious or exceptional cases in which the Board may deem necessary to promote the interest and welfare of the cooperative, the Board may decide to negotiate the award of contract for the implementation of a project which would- thus, in this particular instance only, supersede Section 3, 4 and 5 hereof.
4. That all interested bidders/contractors must submit their proposal in writing in accordance with the advertisement subject to all conditions and requirements, plans, and specifications as prepared by the cooperative.
5. All bids/proposals must be accompanied with bidders and/or proposal bond in the form of cash or cashier's certified check payable to BENECO in the sum of not less than ten percent (10%) of the amount of the contract bid to the effect that the full amount shall be forfeited to the BENECO as liquidated damages in the event that the bidder/contractor fails to execute or sign the contract if the award is made in his favor.
6. Successful bidder must file an acceptance and/or performance bond within ten (10) days after the date of the notice to him that his proposal is accepted and the contract is awarded to him; the amount shall be twenty percentum (20%) of the total contract price for the full and faithful performance of the contract.
7. Liquidated damages for delay shall be defined in the contract.
8. A ten percent (10%) retention shall be imposed to be released by the cooperative sixty (60) days from date of final acceptance.



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9. The Board may approve the release of twenty percent (20%) mobilization fund to the contractor to facilitate the immediate completion and to fast-track the implementation of the awarded project.
10. The Board's Technical Committee as well as the Contracts Committee shall sign a certificate of acceptance upon final inspection and determination by the management-technical as-built inventory team.
 - a. For the Technical Committee: project has been accomplished as per program of work.
 - b. For the Contracts Committee: ascertain that all the terms and conditions of the contract has been faithfully complied with.

This procedure must be complied with before final payment is made. In case the contractor failed to fully accomplish the project as per program of work or failed to faithfully comply with the terms and conditions of the contract, the commensurate deduction shall be made from the intended final collection of the contractor as damages and to be considered as savings for the cooperative.

11. All contracts whether bidded or negotiated must be ratified by the Board prior to implementation.

IMPLEMENTATION:

The General Manager is made responsible for advertising all contracts called for providing the plans and specifications, proposal forms and other forms as deemed necessary.

EFFECTIVITY:

This policy shall take effect immediately.

(SGD) ESTEBAN BUSOY
President

(SGD) LEANDRO B. YANGOT JR.
Secretary

ADOPTED per Resolution No, 64-79 dated June 09, 1979.